

SOFTWARE DEVELOPMENT AGREEMENT

For the Design and Development of an Auction Platform (eBay-style Online Marketplace)

This Software Development Agreement ("**Agreement**") is made and entered into on this 02 day of October, 2026 ("**Effective Date**"), by and between:

Nepatronix Technology Pvt. Ltd., a company incorporated under the laws of Nepal, having its registered office at Kuponhole, Lalitpur, Nepal (hereinafter referred to as the "**Developer**", which expression shall, unless repugnant to the context, include its successors and permitted assigns);

AND

Sameer Shrestha, having its registered/business address at **kathmandu** (hereinafter referred to as the "**Client**", which expression shall, unless repugnant to the context, include its successors and permitted assigns).

The Developer and the Client are hereinafter individually referred to as a "**Party**" and collectively as the "**Parties**".

RECITALS

WHEREAS, the Client wishes to commission the design and development of a web-based online auction and marketplace platform modelled on the functionality of eBay ("**Platform**"), as more particularly described in **Annexure A**;

WHEREAS, the Developer has represented that it possesses the necessary skill, expertise and resources to design, develop and deliver the Platform;

WHEREAS, the Parties wish to record the terms and conditions upon which the Developer shall carry out the said work for the Client;

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, the Parties agree as follows:

1. DEFINITIONS

- 1.1 “Platform”** means the web-based auction and marketplace system, including the buyer and seller storefront and the administrative back-office, as described in Annexure A.
- 1.2 “Deliverables”** means the source code, documentation, designs and other work product that the Developer is required to deliver under this Agreement.
- 1.3 “Milestone”** means each of the four phases of the Project set out in Annexure C, each with its own deliverables and acceptance.
- 1.4 “Project Fee”** means the total fee of **NPR 13,00,000 (Nepalese Rupees Thirteen Lakh only), excluding VAT**, payable by the Client to the Developer under Clause 4.
- 1.5 “Confidential Information”** means any non-public business, technical or financial information disclosed by one Party to the other in connection with this Agreement.
- 1.6 “Change Request”** means any work requested by the Client that is outside the scope described in Annexure A.

2. SCOPE OF WORK

- 2.1 The** Developer shall design, develop, test and deliver the Platform in accordance with the features, data models, architecture and technical specifications set out in **Annexure A**, which forms an integral part of this Agreement.
- 2.2 The** scope of this Agreement is limited to a responsive web platform (accessible on desktop, tablet and mobile browsers) and an administrative back-office panel. Native mobile applications (iOS/Android) are expressly excluded from the scope of this Agreement.
- 2.3 Features** marked as "Phase 2" in Annexure A are not included in the Project Fee and may be undertaken under a separate agreement or Change Request.
- 2.4 Any** work requested by the Client beyond the scope of Annexure A shall be treated as a Change Request and handled in accordance with Clause 10.

3. PROJECT DURATION AND PHASES

- 3.1 The** Project shall be completed within **four (4) months (16 weeks)** from the Effective Date, subject to the timely fulfilment of the Client's responsibilities under Clause 6.
- 3.2 The** Project shall be executed in **four (4) phases**, each corresponding to one calendar month, as set out in **Annexure C**. Each phase shall conclude with a demonstration on the staging environment and written acceptance by the Client.
- 3.3 A** phase shall be deemed accepted if the Client raises no written defect within **five (5) working days** of the demonstration of that phase.
- 3.4 Any** delay directly caused by the Client's failure to perform its responsibilities under Clause 6 shall extend the Project timeline by a period at least equal to the delay so caused, and shall not constitute a breach of this Agreement by the Developer.

4. PROJECT FEE AND PAYMENT TERMS

- 4.1** The total fee for the Project is **NPR 13,00,000 (Nepalese Rupees Thirteen Lakh only), excluding VAT**. Value Added Tax shall be charged in addition, at the prevailing statutory rate (currently 13%).
- 4.2** The Client shall pay a **non-refundable advance of 10% of the Project Fee upon signing of this Agreement**, prior to commencement of work. The balance shall be paid in four instalments linked to the phases set out in Clause 3.2, as detailed in **Annexure B**.
- 4.3** The Developer shall raise an invoice upon completion and demonstration of each phase. Each invoice shall be payable by the Client within **seven (7) days** of the invoice date.
- 4.4** If any payment is not made within the period specified in Clause 4.3, the Developer may, after giving five (5) days' written notice, suspend work on the Project until payment is received, without liability for any resulting delay. Overdue amounts shall accrue interest at **1.5% per month** or the maximum rate permitted by law, whichever is lower.
- 4.5** All amounts under this Agreement are exclusive of VAT, which shall be borne by the Client. Each Party shall be responsible for its own income tax and other statutory obligations.
- 4.6** Costs of servers, storage, domain, SSL, payment gateways, SMS and email services, and any other third-party subscriptions described in Clause 6 are borne directly by the Client and are not included in the Project Fee.

5. RESPONSIBILITIES OF THE DEVELOPER

The Developer (Nepatronix Technology Pvt. Ltd.) shall:

- Design, develop, test and deliver the Platform in accordance with Annexure A, using reasonable professional skill, care and diligence.
- Assign a qualified project team, including a project manager, architect, developers, a designer and a QA engineer, for the duration of the Project.
- Follow the architecture, database design and security practices described in Annexure A, including encryption, access control and secure handling of payment and KYC data.
- Deliver and demonstrate each phase on the staging environment by the dates set out in Annexure C, and promptly correct any material defect identified during acceptance review.
- Provide the documentation listed in Clause 9.1, including source code, API documentation, database schema and user manuals.
- Conduct one (1) training session of up to four (4) hours for the Client's staff prior to go-live.
- Provide thirty (30) days of post-launch support for the correction of defects in the Deliverables, free of charge, following final acceptance.
- Maintain the confidentiality of the Client's business and technical information in accordance with Clause 8.
- Communicate progress to the Client through a weekly status update and a demonstration at the end of every two weeks.

6. RESPONSIBILITIES OF THE CLIENT

The Client shall:

- Nominate one authorized point of contact to make decisions, provide feedback and approve deliverables on the Client's behalf.
- Provide feedback on work in progress within three (3) working days, and accept or reject each milestone within five (5) working days of its demonstration, as set out in Clause 3.3.
- Supply, by the end of Week 4, all business rules, categories, commission and fee structures, policies, terms and conditions, brand assets (logo, colors) and content required for the Platform.
- Provide access to a staging server and a source code repository by Week 2 of the Project.
- Procure and provide, by Week 4, payment gateway merchant accounts (sandbox and live credentials for up to two gateways), and accounts with an SMS provider and an email provider, together with the credentials needed for integration.
- **Provide and bear the full cost of production servers, database and search infrastructure, object storage, CDN, backups, domain name and SSL certificate**, sized as recommended in writing by the Developer, and make them available no later than Week 12.
- Provide live payment gateway credentials, and confirm compliance with any applicable regulatory requirements for holding customer funds in escrow (including any Nepal Rastra Bank approvals that may be required), by Week 13.
- Make all payments in accordance with Clause 4 and Annexure B, within the time specified.
- Provide test user accounts and reasonably cooperate during user acceptance testing, by Week 15.
- Ensure that all content, branding and business rules supplied to the Developer do not infringe the rights of any third party and comply with applicable law.

Note: any delay in the Client's responsibilities listed above shall extend the Project timeline under Clause 3.4 and may affect the dates in Annexure C accordingly.

7. INTELLECTUAL PROPERTY

7.1 Subject to full and final payment of the Project Fee and all applicable VAT, all right, title and interest in the custom source code, designs and documentation created specifically for the Client under this Agreement shall vest in the Client upon delivery.

7.2 Nothing in this Agreement transfers to the Client any right, title or interest in (a) open-source components and third-party libraries used in the Platform, which remain governed by their respective licences, or (b) the Developer's pre-existing tools, frameworks, know-how and general methodologies.

7.3 The Developer may use the general knowledge, experience and non-confidential techniques gained during the Project for other engagements, provided that no Confidential Information of the Client is used or disclosed.

7.4 The Developer may identify the Client and describe the nature of the Project (without disclosing Confidential Information) in its portfolio and marketing materials, unless the Client objects in writing.

8. CONFIDENTIALITY

- 8.1 Each** Party shall keep confidential all Confidential Information received from the other Party and shall not disclose it to any third party, except to employees, contractors or advisors who need to know it for the purposes of this Agreement and who are bound by equivalent confidentiality obligations.
- 8.2 This** Clause 8 shall not apply to information that is or becomes publicly available through no fault of the receiving Party, was already known to the receiving Party without obligation of confidence, or is required to be disclosed by law or a competent authority.
- 8.3 The** obligations under this Clause 8 shall survive the termination or expiry of this Agreement for a period of two (2) years.

9. DELIVERABLES, DOCUMENTATION AND WARRANTY

- 9.1 Upon** completion, the Developer shall deliver: (a) complete source code in the Client's repository; (b) database schema and ER diagrams; (c) API documentation; (d) an architecture document; (e) administrator, seller and buyer user guides.
- 9.2 The** Developer warrants that, at the time of delivery, the Deliverables will materially conform to Annexure A and will be free from material defects. During the thirty (30) day warranty period following final acceptance, the Developer shall correct any such defect at no additional cost.
- 9.3 Save** as expressly stated in this Agreement, the Platform is provided without warranties of any kind, and the Developer shall not be liable for defects, outages or data loss arising from the Client's own infrastructure, or from third-party services such as payment gateways, hosting providers, SMS or email services.

10. CHANGE REQUESTS

- 10.1 Any** request by the Client for work outside the scope of Annexure A shall be submitted in writing.
- 10.2 The** Developer shall provide a written estimate of the additional time and cost required. No such work shall commence until the Client has approved the estimate in writing.
- 10.3 Approved** Change Requests shall be invoiced and paid separately from the Project Fee, unless otherwise agreed in writing.

11. TERMINATION

- 11.1 Either** Party may terminate this Agreement for convenience upon thirty (30) days' prior written notice to the other Party.
- 11.2 Either** Party may terminate this Agreement with immediate effect by written notice if the other Party commits a material breach of this Agreement and fails to remedy such breach within fifteen (15) days of receiving written notice of the breach.
- 11.3 Upon** termination for any reason: (a) the Client shall pay the Developer for all phases completed and accepted up to the date of termination, and a pro-rata amount for any phase in progress, calculated according to the proportion of work completed; (b) the Developer shall deliver all work-in-progress Deliverables to the Client upon receipt of payment due under this Clause.
- 11.4 The** advance payment referred to in Clause 4.2 is non-refundable, save where the Developer has not commenced any work on the Project at the time of termination.

12. LIMITATION OF LIABILITY

- 12.1 Neither** Party shall be liable to the other for any indirect, incidental, special or consequential loss or damage, including loss of profit or loss of data, arising out of or in connection with this Agreement.
- 12.2 The** Developer's total aggregate liability arising out of or in connection with this Agreement, whether in contract, tort or otherwise, shall not exceed the total Project Fee actually paid by the Client under this Agreement.
- 12.3 Nothing** in this Agreement shall limit either Party's liability for fraud, wilful misconduct, or any liability that cannot be excluded or limited under applicable law.

13. FORCE MAJEURE

- 13.1 Neither** Party shall be liable for any failure or delay in performance under this Agreement caused by circumstances beyond its reasonable control, including natural disasters, pandemics, war, civil unrest, government action, internet or power outages, or failure of third-party service providers.
- 13.2 The** affected Party shall notify the other Party promptly and shall resume performance as soon as reasonably practicable once the force majeure event ends. If a force majeure event continues for more than sixty (60) days, either Party may terminate this Agreement by written notice without penalty.

14. DISPUTE RESOLUTION AND GOVERNING LAW

- 14.1 The** Parties shall first attempt to resolve any dispute arising out of or in connection with this Agreement amicably through good-faith negotiation between their authorised representatives within fifteen (15) days of either Party notifying the other of the dispute.
- 14.2 If** the dispute is not resolved through negotiation, it shall be referred to and finally resolved by arbitration in accordance with the Arbitration Act, 2055 (1999) of Nepal. The seat of arbitration shall be Kathmandu, Nepal, and the proceedings shall be conducted in English or Nepali.
- 14.3 This** Agreement shall be governed by and construed in accordance with the laws of Nepal.

15. NOTICES

- 15.1 Any** notice required under this Agreement shall be in writing and delivered by hand, registered post or email to the addresses set out below, or such other address as a Party may notify in writing from time to time.

Party	Address for notice
Developer – Nepatronix Technology Pvt. Ltd.	Kupondole, Lalitpur, Nepal Email: contact@nepatronix.org
Sameer Shrestha	[Client Address] Email: [client email]

16. MISCELLANEOUS

- 16.1 Entire Agreement.** This Agreement, together with its Annexures, constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior discussions, proposals and understandings, whether written or oral.
- 16.2 Amendment.** This Agreement may be amended only by a written instrument signed by authorised representatives of both Parties.
- 16.3 Assignment.** Neither Party may assign or transfer its rights or obligations under this Agreement without the prior written consent of the other Party, such consent not to be unreasonably withheld.
- 16.4 Independent Contractor.** The Developer is an independent contractor. Nothing in this Agreement shall be construed to create a partnership, joint venture or employer-employee relationship between the Parties.
- 16.5 Severability.** If any provision of this Agreement is held invalid or unenforceable, the remaining provisions shall continue in full force and effect.
- 16.6 Waiver.** No failure or delay by either Party in exercising any right under this Agreement shall operate as a waiver of that right.
- 16.7 Counterparts.** This Agreement may be executed in counterparts, including by electronic signature, each of which shall be deemed an original.

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the Effective Date first written above.

For the Developer

Nepatronix Technology Pvt. Ltd.

Raju Shrestha (CEO and Founder)

Authorized signatory (name and designation)

Signature and company seal

10/02/2026

Date

For the Client

[Client Name]

Sameer Shrestha

Authorized signatory (name and designation)

Signature and company seal

10/02/2026

Date

ANNEXURE A – SCOPE OF WORK

The Platform shall include the modules listed below, as more fully detailed in the Developer's technical proposal titled "Auction Platform Proposal" dated September 2026, which is incorporated into this Agreement by reference. Features marked **Phase 2** are excluded from the Project Fee under this Agreement.

Module	Summary of included (Phase 1) functionality
User and account management	Registration, login, 2FA, roles, profiles, address book, seller KYC verification, feedback score, account restrictions
Catalog and categories	Category tree, item specifics per category, conditions, brands, restricted-item rules
Listings	Create/edit listings, auction, fixed price and Best Offer formats, variations, photos, drafts, scheduling, relisting, bulk upload, moderation
Auction and bidding engine	Proxy (automatic) bidding, reserve price, bid increments, live price updates, winner determination, unpaid-item handling, second-chance offers
Best Offer	Buyer offers, seller accept/decline/counter, auto-accept and auto-decline rules
Search and discovery	Full-text search, filters, sorting, watchlist, saved searches, recently viewed
Cart and checkout	Multi-seller cart, stock reservation, coupons, VAT and shipping calculation
Payments, escrow and payouts	Payment gateway integration, escrow hold, double-entry ledger, fee engine, seller wallet, payouts, refunds, invoices
Orders and shipping	Order lifecycle, shipping policies, tracking entry, cancellations, auto-completion
Returns and disputes	Return requests, case management, evidence, admin decisions, buyer protection window
Feedback and reputation	Buyer/seller feedback, detailed seller ratings, seller performance metrics
Messaging and notifications	Buyer–seller messaging, spam filtering, email/SMS/in-app notifications
Seller tools	Seller dashboard, inventory and order tools, reports, vacation mode, saved replies
Admin back-office	Role-based access, user/listing/order/finance/dispute management, moderation queue, content management, audit log, reports
Trust, safety and platform	Rule-based fraud checks, strikes, responsive web design and SEO, security and audit controls

Native mobile applications are excluded from the scope of this Agreement.

ANNEXURE B – PAYMENT SCHEDULE

Total Project Fee: NPR 13,00,000 excluding VAT

VAT at the prevailing rate (13%) applies to each invoice. At 13%, total VAT is NPR 1,69,000 and the total amount payable, inclusive of VAT, is NPR 14,69,000.

No.	Payment trigger	Share	Amount (NPR)	VAT 13% (NPR)	Total (NPR)
1	Advance payment – on signing of this Agreement	10%	1,30,000	16,900	1,46,900
2	Milestone 1 – accepted at end of Month 1	20%	2,60,000	33,800	2,93,800
3	Milestone 2 – accepted at end of Month 2	20%	2,60,000	33,800	2,93,800
4	Milestone 3 – accepted at end of Month 3	25%	3,25,000	42,250	3,67,250
5	Milestone 4 – go-live and handover	25%	3,25,000	42,250	3,67,250
	Total	100%	13,00,000	1,69,000	14,69,000

The 10% advance under row 1 is payable upon signing of this Agreement and before commencement of work. Each subsequent instalment is payable within seven (7) days of the Developer's invoice, issued upon demonstration and acceptance of the corresponding phase under Annexure C.

ANNEXURE C – PROJECT TIMELINE AND PHASES

Phase	Key deliverables
Phase 1 (Month 1)	Requirements sign-off, UI/UX design, system and database architecture, environment and pipeline setup, user accounts, KYC and category catalog
Phase 2 (Month 2)	Listings (fixed price, photos, drafts, bulk upload), search and filters, cart and checkout, payment gateway integration on staging
Phase 3 (Month 3)	Auctions with proxy bidding and live updates, Best Offer, orders and shipping, ledger, escrow and payouts, messaging, notifications and feedback
Phase 4 (Month 4)	Returns and disputes, seller dashboard and admin panel, testing, security review, performance tuning, user acceptance testing, go-live, training and handover

Each phase shall conclude with a demonstration on the staging environment. The Client shall accept or raise written defects within five (5) working days of the demonstration, in accordance with Clause 3.3. Payment for each phase is linked to its acceptance, as set out in Annexure B.

ANNEXURE D – CLIENT-PROVIDED INFRASTRUCTURE

In accordance with Clause 6, the Client shall provide and bear the cost of the following, sized as recommended by the Developer for launch and adjusted after load testing in Phase 4:

Item	Description
Application, real-time and worker servers	Linux virtual machines for the web, API, real-time and background-job processes
Database servers	PostgreSQL primary and replica with SSD storage
Cache and search servers	Redis and OpenSearch instances
Object storage and CDN	S3-compatible storage for images, documents and backups, fronted by a CDN
Domain name and SSL certificate	Registered domain and a valid SSL/TLS certificate
Payment gateway accounts	Merchant accounts with sandbox and live API credentials for up to two gateways
SMS and email service accounts	Accounts and API credentials for transactional SMS and email